Deutsche Bank
Research

M&A Spotlight: H2 – fiscal fuel & value focus

9 July 2026

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IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.

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Image: Microsoft Designer

Key M&A themes for H2 2026

1. Operational efficiency to drive M&A decisions	47% of CEOs say operational efficiency is their top priority – that makes it the <u>number one priority</u> among CEOs
2. Near-term earnings accretion for mid-market deals	Daily dispersion in the US and Europe ~1.7 (similar to shock levels) shows investors are prioritising returns over pure growth
3. Corporates pivot to M&A	64% increase in US corporate discussion of “M&A” in Q2 over Q1. 52% increase for European companies over the same period
4. CEOs prioritise ‘normal’ things	CEOs rank “recession/growth challenges” as their <u>number one threat</u>. Geopolitics and AI are merely numbers 5 and 6 respectively
5. Capex supercycle is primed	The average company has capex spent ~20% of operating cash in the US and 30% in Europe. This has been stable for 5 years indicating pent-up demand
6. Dollar likely to remain neutral	Dollar index ~4% stronger LTM. Expect lower volatility absent exogenous shocks
7. Fiscal activism	~20 percentage point increase in debt/GDP ratios expected for North America and, separately, Developing Economies as a group – in the decade to 2031. Multiple sectors to benefit
8. Corporate buyer boom	7.5x – M&A deal value of corporates relative to sponsors in Q2. In early ‘25, their deal value was equal

Our forecasts

The world economy has been impacted by the conflict in the Middle East, however, it is more resilient than anyone forecast. Indeed, scenarios that modelling a closure of the Strait of Hormuz estimated an enormous negative impact on the global economy.

How 2026 could play out under our current assumptions about the world economy (DB forecasts)

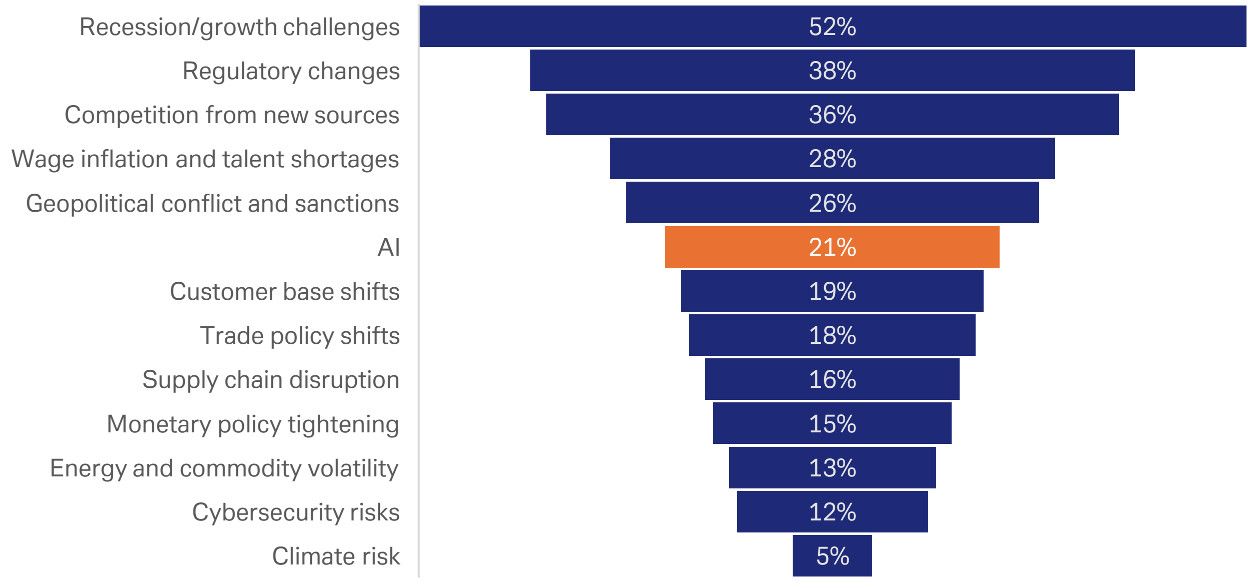
S&P 500	8000	↑	7.0%
Stoxx 600	640	=	
10yr treasury yield	4.70%	↑	12bps
US GDP	2.2%	↑	0.1% on 2025
Eurozone GDP	0.5%	↓	1.0%
Germany GDP	0.5%	↑	0.2%
UK GDP	1.0%	↓	-0.4%
Japan GDP	0.7%	↓	-0.4%
Crude oil	$70	↓	-10%

Source: Deutsche Bank. Photo by Kyle Glenn on Unsplash

Chief executives are worrying about more ‘normal’ things

Recent ‘shock’ worries about geopolitics, energy and monetary policy are now lower on CEOs’ agenda

Percentage of CEOs who ranked the following threats in their top three

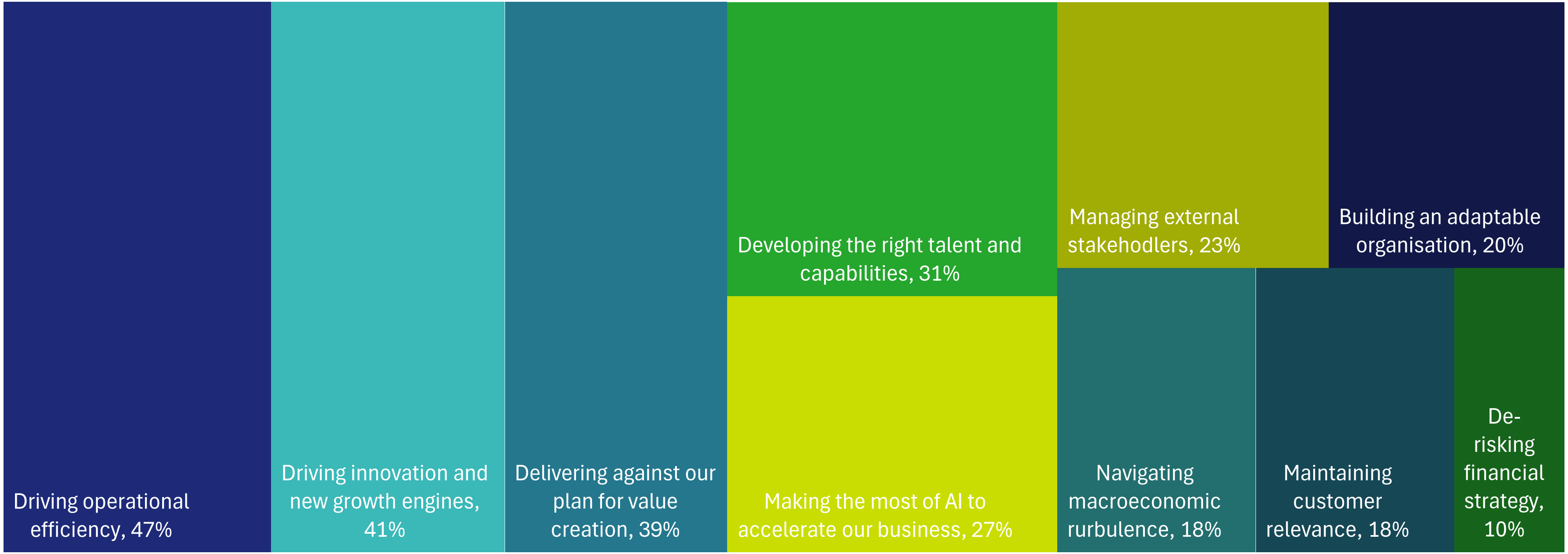


Source: Bain CEO Survey 2026, Deutsche Bank.

Operational efficiency is the number one priority

Shareholder pressure has made ‘efficiency’ the most important thing. This means M&A opportunities will be more focussed on immediate EPS accretion while investment for longer-term growth opportunities will receive more scrutiny.

What are your top priorities as a leadership team for 2026?

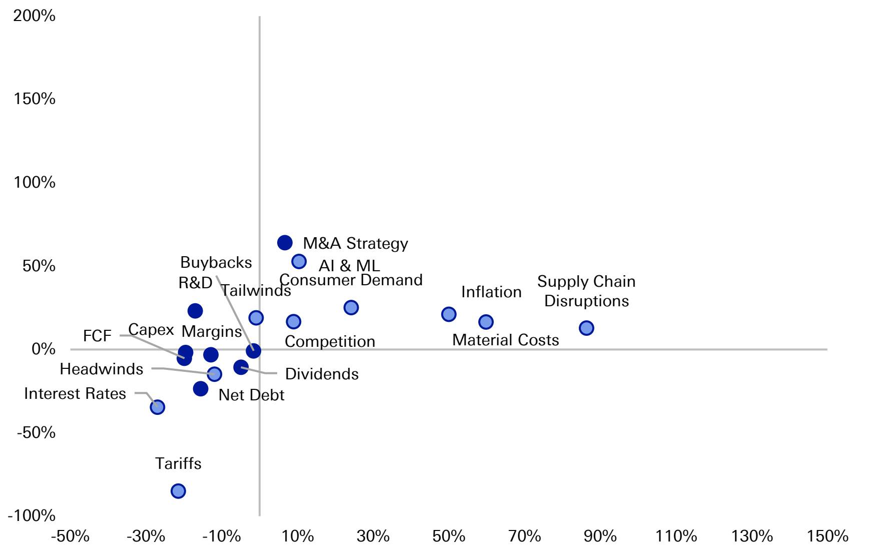


Source: Bain CEO Survey 2026, Deutsche Bank.

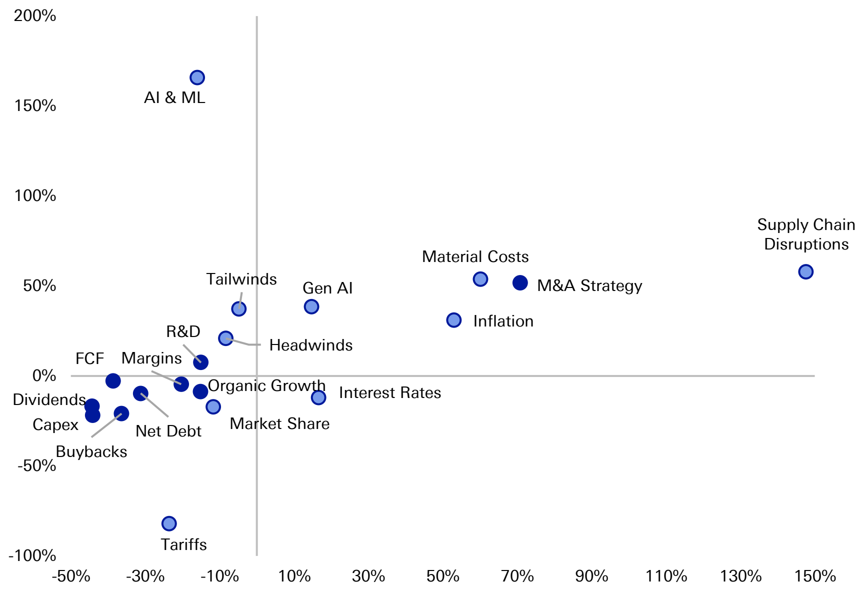
What companies are thinking

AI and M&A are popular topics, but so are the consequences of the Iran conflict. Europe is relatively more concerned than the US.

S&P 500, mentions of selected topics – YoY (y-axis) and QoQ (x-axis), latest reporting period



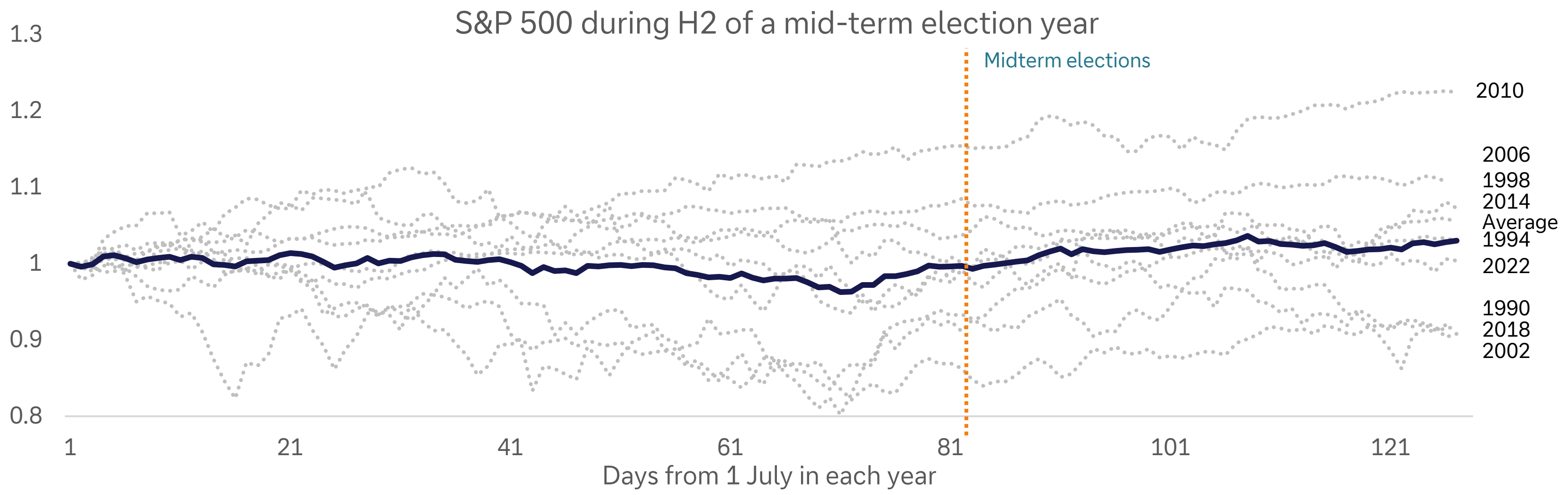
Stoxx 600, mentions of selected topics – YoY (y-axis) and QoQ (x-axis), latest reporting period



Source: Bloomberg Finance LP, Deutsche Bank. Note: QoQ is calculated using mentions in April-May 2026 vs mentions in January-February 2026. YoY is April-May 2026 vs April-May 2025.

What do markets do before the mid-terms?

The ‘average’ performance of the S&P 500 in H2 of an election year is a red herring – the spread is very wide which means that although equity markets may be wary of mid-term elections, other factors are far more important.



In H2 before the mid-term elections (since 1990)		
On average, markets climb	↑	1.1%

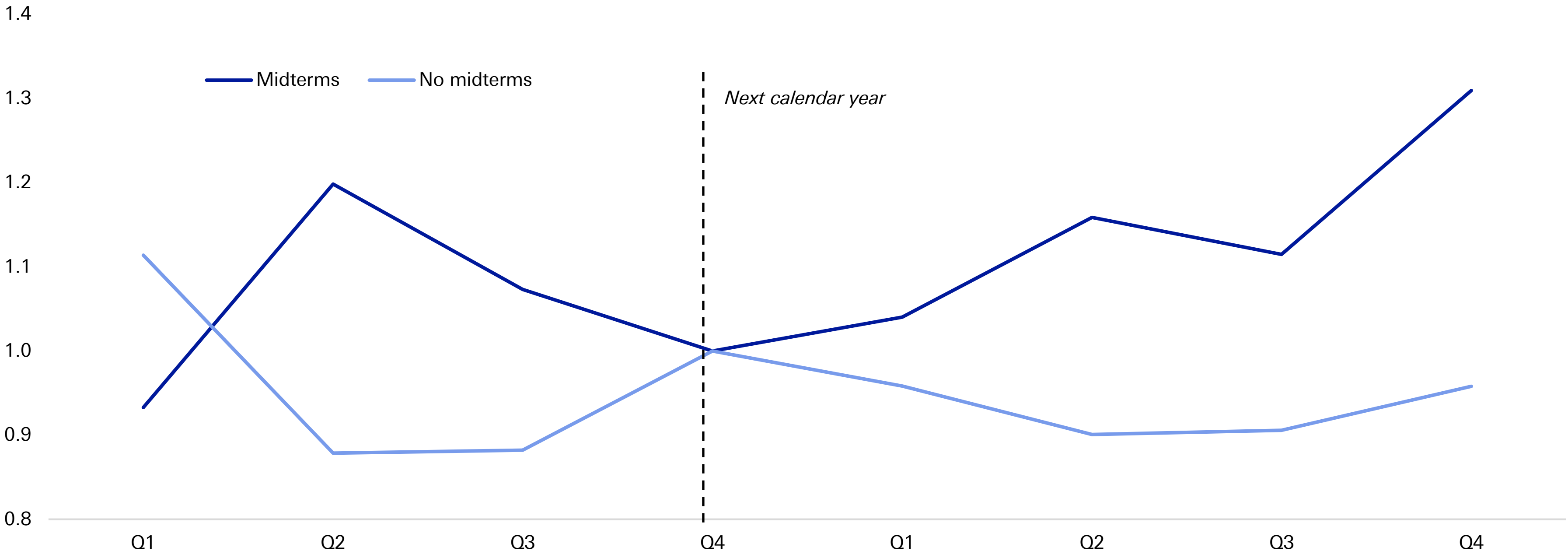
In H2 after the mid-term elections (since 1990)		
On average, markets climb	↑	1.4%

Source: Factset, Deutsche Bank.

Dealmaking ahead of midterms

There is a discernible impact on aggregate deal values in the US, especially over the last two midterms. Deal values tend to slow going into the voting period but then recover in the following year. This may in part be explained by corporates hesitating to do big deals ahead of potential political change.

US M&A deal value relative to Q4 (2000-2024)



Source: Dealogic, Deutsche Bank.

Conviction & execution

Several trends are combining in H2 to sustain stronger M&A

Greater geopolitical certainty

- Markets have priced in substantial levels of:
  - Geopolitical risk
  - War risk
  - Tariff risk
- Potential split Congress could inject certainty via gridlock

+

Market stability

- Fed expected to keep rates in a tight band
- $2tn in private capital dry powder
- Credit spreads have remained low

+

Corporate catalysts

- AI response is to acquire either
  - AI capabilities/infrastructure
  - Business that are more insulated from AI disruption
- Scale existing business
- Spin-off underperforming divisions

=

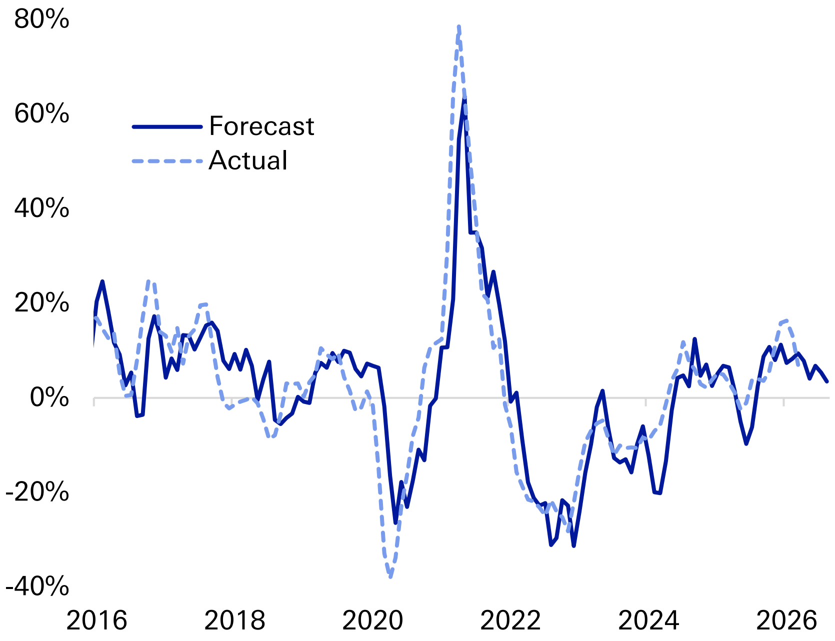
M&A resilience

Source: Deutsche Bank.

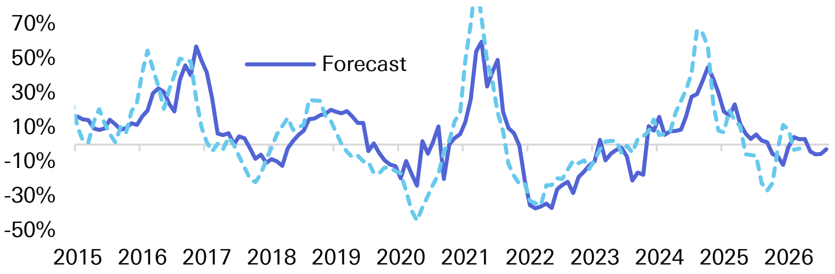
Dealmaking after the Iran deal

US deal count growth has been resilient despite the Iran conflict. We see this continuing, with positive momentum in the US going into Q3 as well as signs of recovery in Europe.

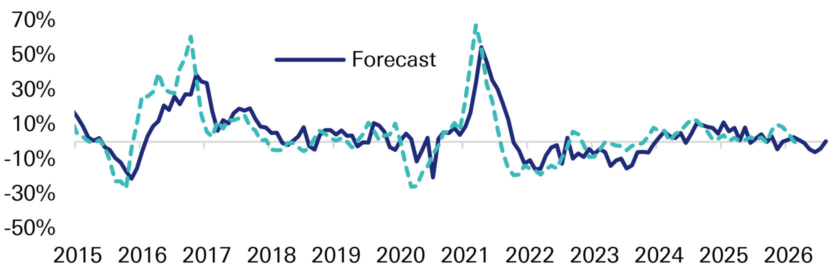
Our 3m-forward forecast for growth in US M&A deal numbers



Our forecast for growth in UK deal numbers



Our forecast for growth in Eurozone deal numbers



Source: Dealogic, Bloomberg Finance LP, Haver Analytics, Deutsche Bank.

Shifts in the background environment

The phrase 'regime shift' is tossed around a lot. But today, most people actually underestimate just how much of a change has occurred over the last few years, particularly due to the normalisation of interest rates.

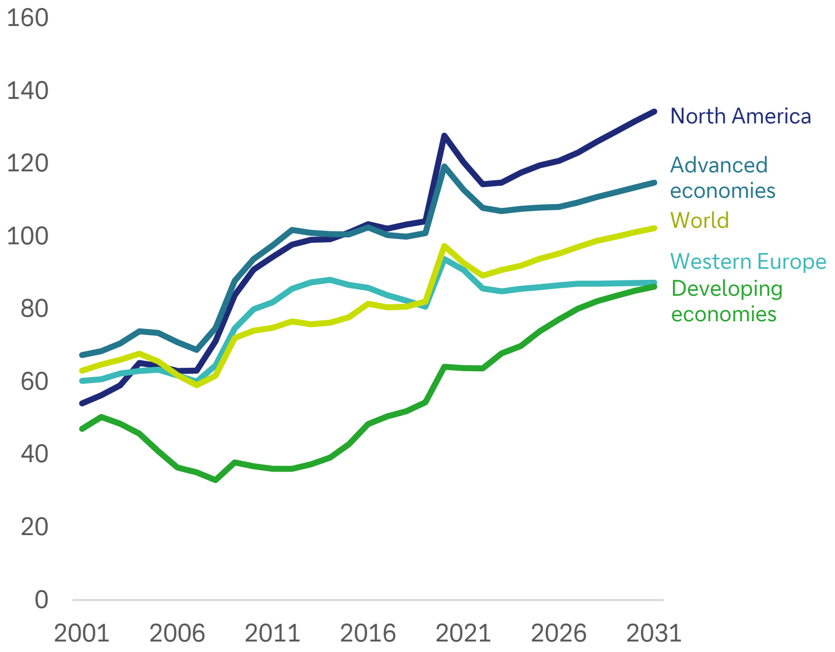
	2023-2025	H2 2026
Interest rates	– Volatile and/or uncertain	– Fed funds stable at 3.50-3.75% – Debate over 0-2 rate rises – very different from more volatile expectations in the past
Geopolitics	– Severe uncertainty compared with expectations	– Expectation of uncertainty – Calculated risk becoming normalised – Tariff risk priced in
Financing	– Expectations that broad defaults post '22 rate rises would widen credit spreads	– Credit spreads have proved resilient to several shocks – Pressure growing on private capital to deploy dry powder
Deal rationale	– Opportunistic/defensive	– AI-related (scale or defence) – RoE driven

Source: Deutsche Bank.

Fiscal activism driving the traditional economy

Governments are allocating fiscal policy towards key sectors. Public-private partnerships are increasingly popular and that is driving consolidation in several industries

Government debt as % of GDP



Source: IMF, Deutsche Bank.

Sectors benefiting from fiscal activism

- Defence
- Industrial self sufficiency
- Power & energy
- Hardware
- Materials
- Transportation
- Digital
- Waste & water

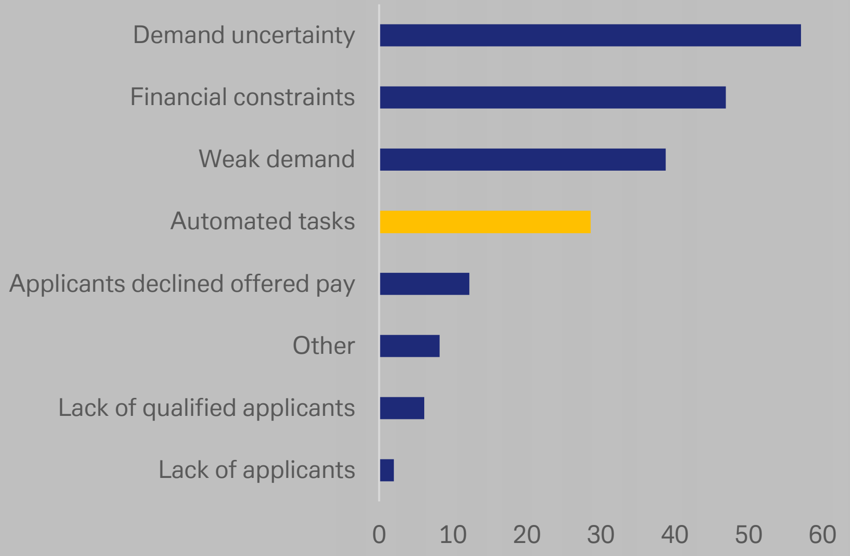
Developing economies are expected to be the most aggressive in deploying fiscal as a tool

AI is not a key reason why companies are either laying-off or not hiring staff

Only a small percentage of firms are laying off workers

Why are you laying off workers or declining to fill open positions?

Per cent of firms that reported laying off workers of declining to fill open positions in Q2 2026



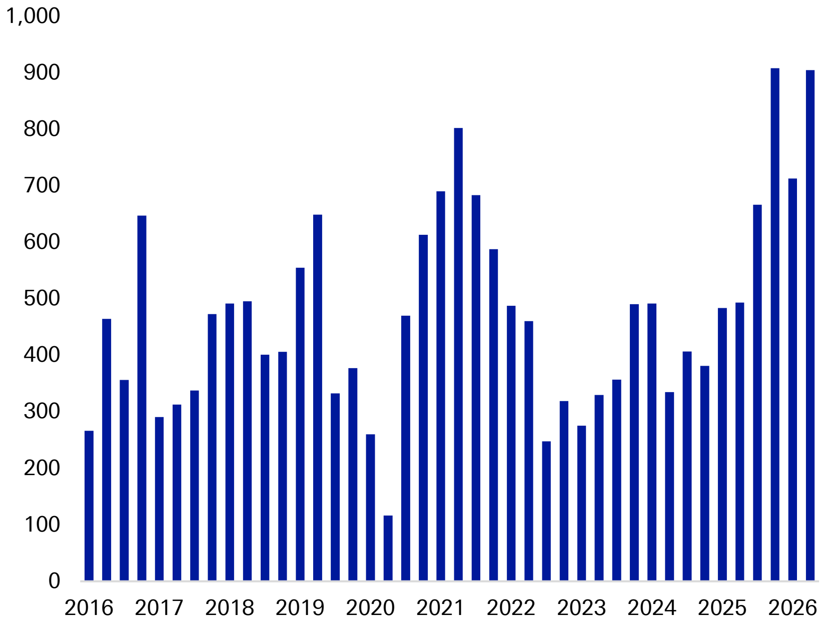
Source: Richmond Fed, Deutsche Bank, Photo by Tim Witzdam on Unsplash

	Q4 2025		Q2 2026
% of US firms laying-off workers	8.8%	↓	5.7%
% of US firms not filling open positions	7.8%	↓	4.9%

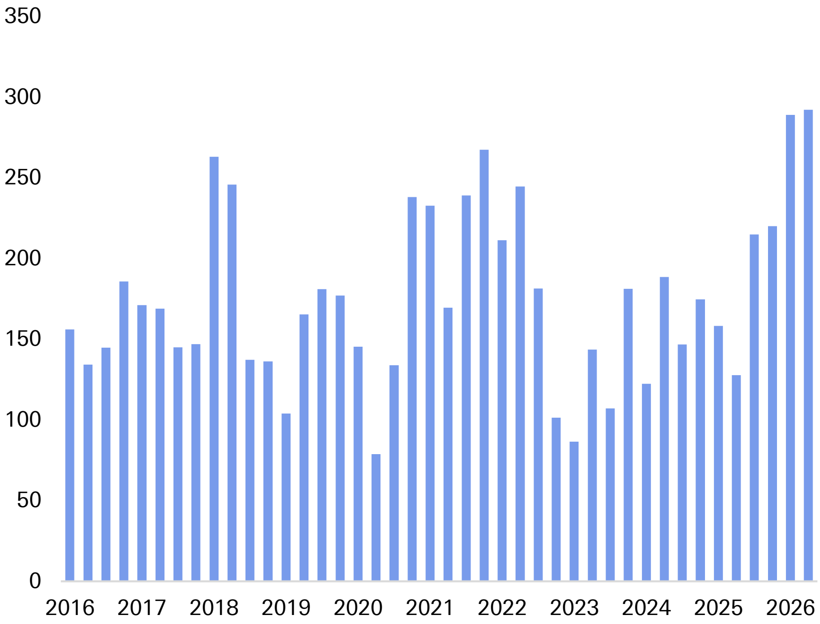
Big deals still lead the market

US volumes are holding up despite a very strong Q4 last year as well as the tech uncertainty. Big European deals are also showing momentum.

US deal value by quarter ($bn)



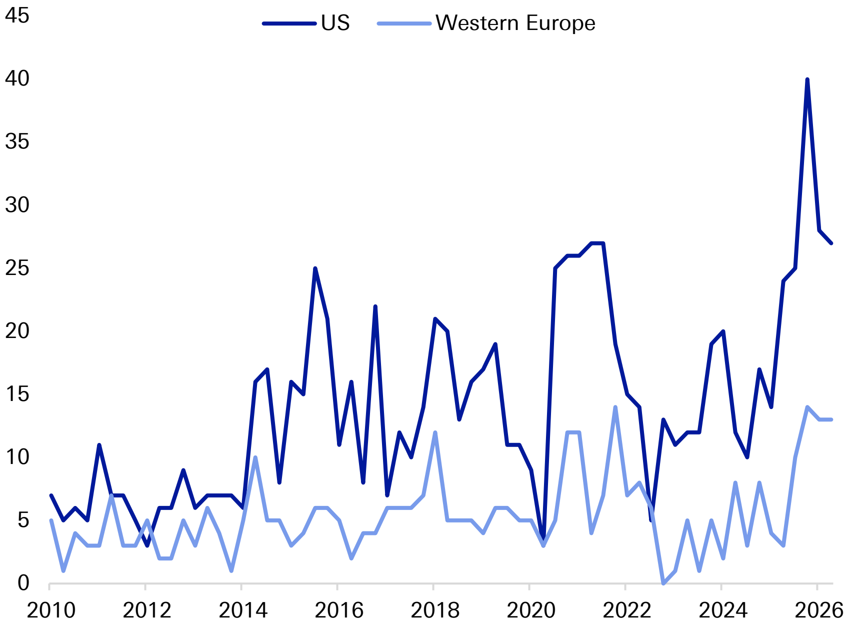
Western Europe deal value by quarter ($bn)



Source: Dealogic, Deutsche Bank.

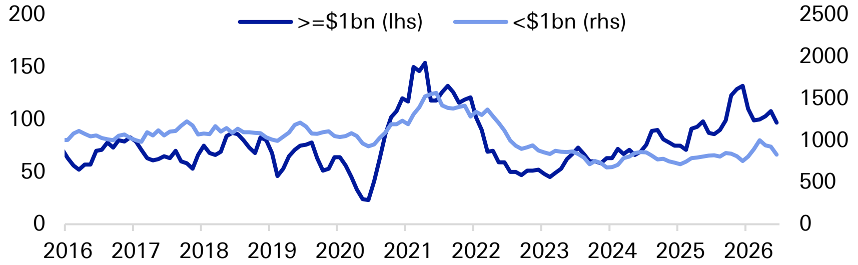
Megadeals continue to dominate the market.

Count of megadeals (>$5bn value) by quarter

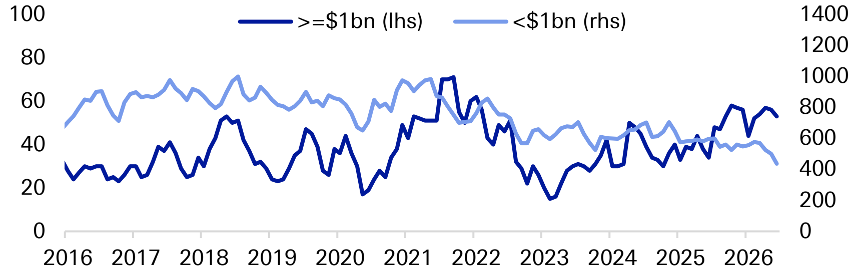


Source: Dealogic, Deutsche Bank.

US, 3m deal count by size



W Europe, 3m deal count by size



Geopolitics in H2
Calculated risks, substantial uncertainty priced in

New strategies increase the 'cost' of attacking, thus raising the bar for future conflict

- Iran used several strategies to frustrate the US
  - Focus on economic damage via the threat of force against non-aligned commercial interests
  - Broadening the conflict via attacking neighbours
  - There is no widespread, cost-effective defence against cheap drone attacks

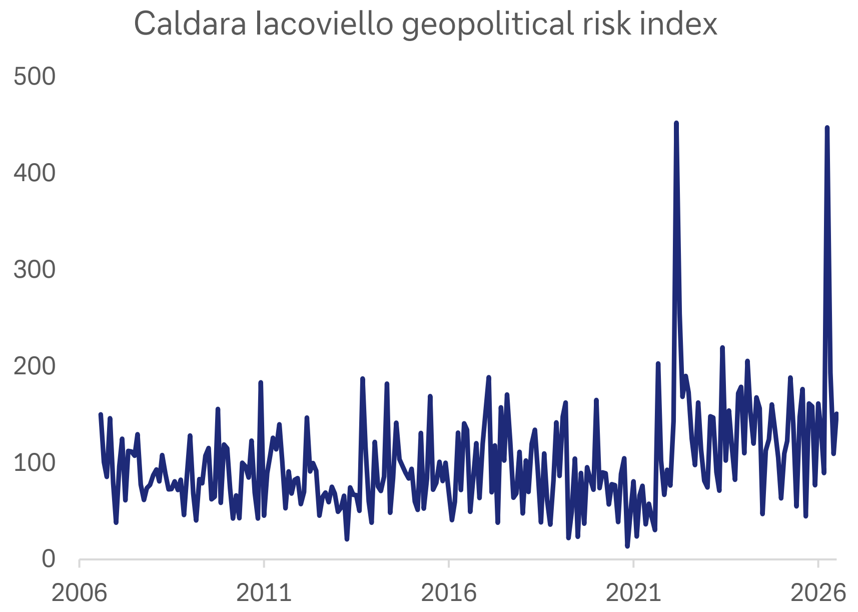
US politics

- Mid-term elections could see the Democrats win the House, while the Senate remains close. Gridlock may create a degree of certainty with President Trump more restricted than he is today.
- A security rift between the US and Europe remains a possibility that could flow into trade and corporate uncertainty.

China

- The May summit between the US and China achieved little. A visit by Xi to the US in H2 may result in more.
- US defence bill is due in December – this frequently contains provisions aimed at China

The geopolitical risk index has returned to its average level for the 2020s



Source: Caldara Iacoviello via Bloomberg Finance L.P., Deutsche Bank.

The Strait of Hormuz – not a simple reopening

Normalisation will be phased, uneven, and slower in the physical economy than in market prices

For a deeper analysis of the lasting impact of the SoH crisis, see our piece here

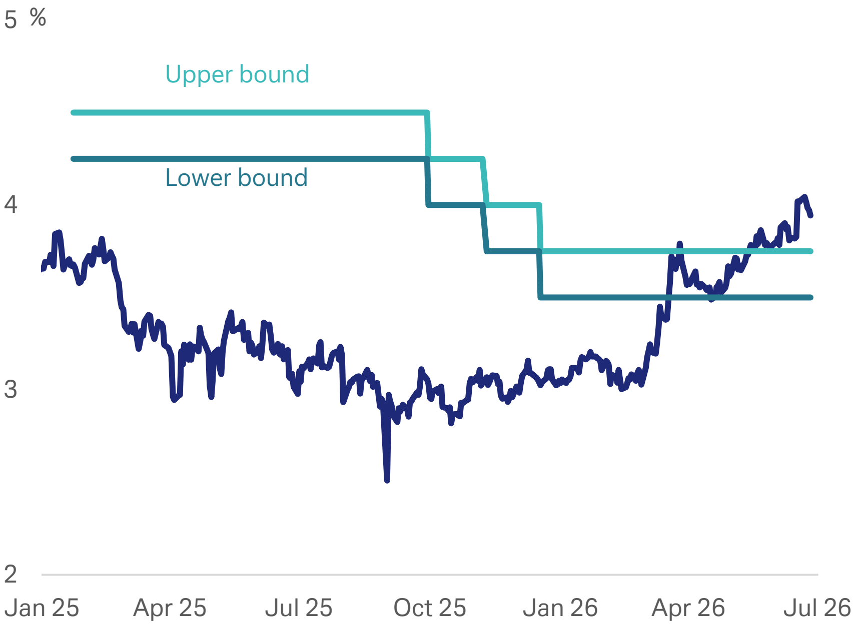
Impact on Central Bank Monetary Policy	The inflation shock significantly altered anticipated paths of monetary policy. For instance, the ECB shifted towards expected rate hikes, and the Fed's policy outlook also moved towards no change or even potential rate increases, reflecting global energy price jumps and other anticipated price pressures.
A Lasting Risk Premium in the Strait of Hormuz	The conflict highlighted Iran's ability to control the waterway, leading to a permanent risk premium for transit through the SoH. Businesses and governments are now reluctant to assume its security even in "normal" times.
Increased War-Risk Cost Structure with Higher Inventories, Redundancy, and Costs	The global economy is unlikely to revert to its previous efficiency-first model. Companies and governments are expected to maintain larger inventories, build in more redundancy, spend more on insurance, hedging, and transport, and accept duplicated routes and suppliers, making the world economy structurally more expensive to operate.
Changed Resilience Equation	The crisis revealed the need for broader reserves beyond crude oil and gas, extending to refined fuels, petrochemicals, fertilizers, food, metals, critical minerals, and other industrial inputs whose disruption can rapidly cascade through supply chains and consumer prices.
Increased Geopolitical Fragmentation and Competing Blocs	The conflict reinforces a global trend towards a fragmented world order. States will increasingly make economic and diplomatic choices through a geopolitical lens, impacting sourcing, sanctions alignment, technology partnerships, and strategic commercial relationships.
Security-Driven Energy Transition Policy	The link between energy transition and security has strengthened. Governments will prioritize investments in renewables, power grids, storage, nuclear generation, and electrified transport not only for climate reasons but also to reduce reliance on imported fuels and vulnerable shipping routes. This also means many states may continue to secure fossil fuel access in the near term.

Source: Deutsche Bank.

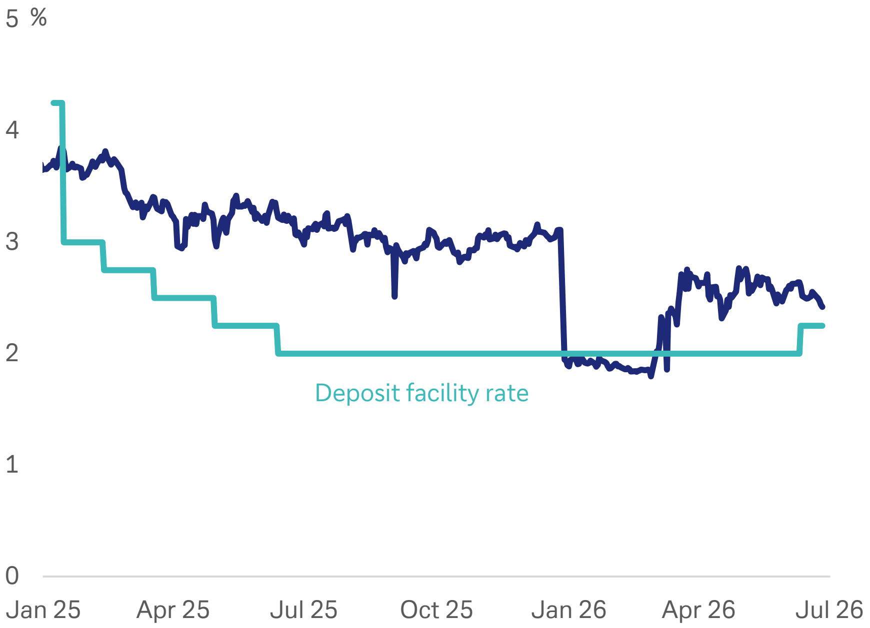
Expectations for interest rates

Markets are pricing in only marginally higher interest rates in H2. This is a big difference to the volatility in expectations over the last few years.

US: Market implied level of Feds Funds Rate by Dec-26



Europe: Market implied level of the ECB's Deposit Facility Rate by Dec-26



Source: Bloomberg Finance L.P., Deutsche Bank.

AI is becoming a broader factor in M&A

Non-tech companies are being cautious about their foray into AI-based M&A. However, it is slowly becoming

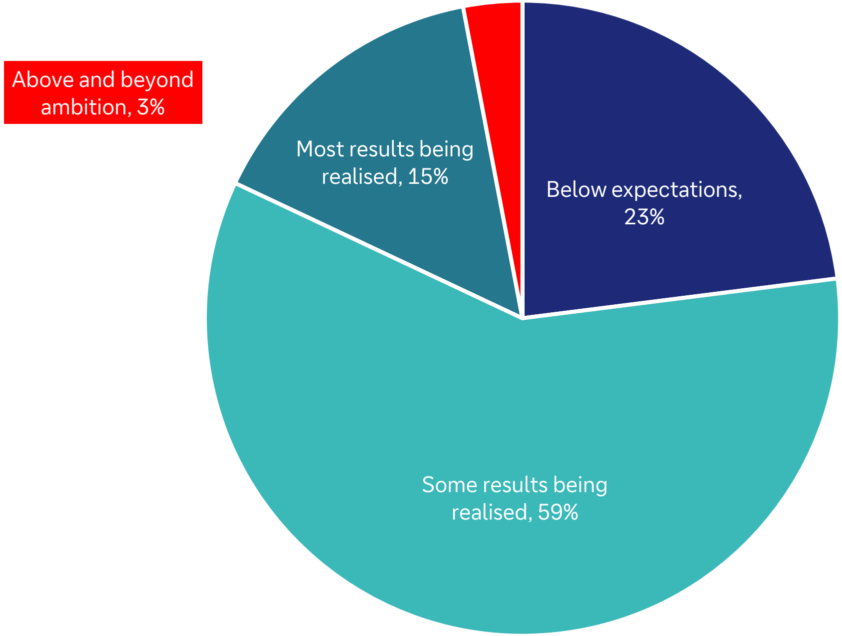
Sector	Driver	M&A structure
Technology	AI integration & scale	Megadeals and bolt-ons
Energy	AI compute load & energy security	Infrastructure mergers
Industrials & defence	Efficiencies in costs, logistics, & operations	Regional partnerships
Healthcare	Precision medicine, new drug development to offset patent cliffs	Specific software acquisitions and platform builds
Financials	Credit analysis, infrastructure optimisation	Analysis tools, asset management roll-ups

Source: Deutsche Bank., Photo by Andrew Keymaster on Unsplash

Underwhelming AI results so far for most companies

The biggest problem is the lack of expertise and tools

For your AI transformation or experimentation, how would you rate the results to date?



Source: Bain CEO Survey 2026, Deutsche Bank.

AI rollouts are relatively limited

85% of CEOs are using AI as part of programmes to either driver cost reduction or productivity improvements

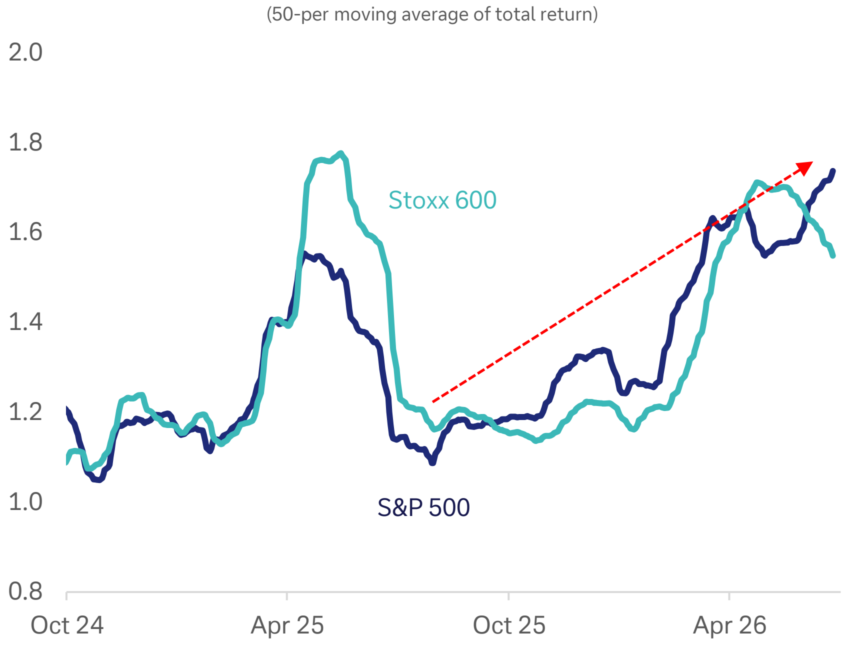
Yet only 18% of CEOs say that the results are at least in line with expectations

The biggest barrier to success? People: 43% of CEOs say their people lack the expertise and tools to support AI change. 39% say their data and platforms are not ready.

Under the hood of equity markets

A sustained rise in dispersion outside risk-off events is very encouraging. It means that investors are rewarding high-quality companies.

Daily dispersion of key equity indices



Source: Dealogic, Deutsche Bank.

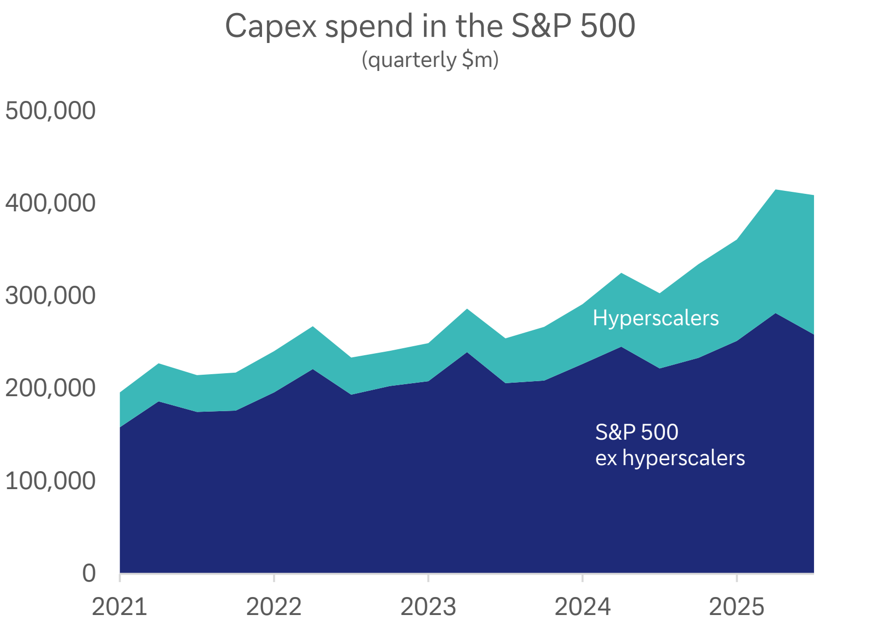
What does higher dispersion mean?

- Investors are differentiation more between companies
- This frequently happens during severe risk-off periods, or shock periods (such as during the 2025 tariff crisis)
- BUT – the fact that dispersion is increasing now means that investors care now about the differences between different companies
- This benefits strong companies and gives them greater currency to pursue M&A opportunities

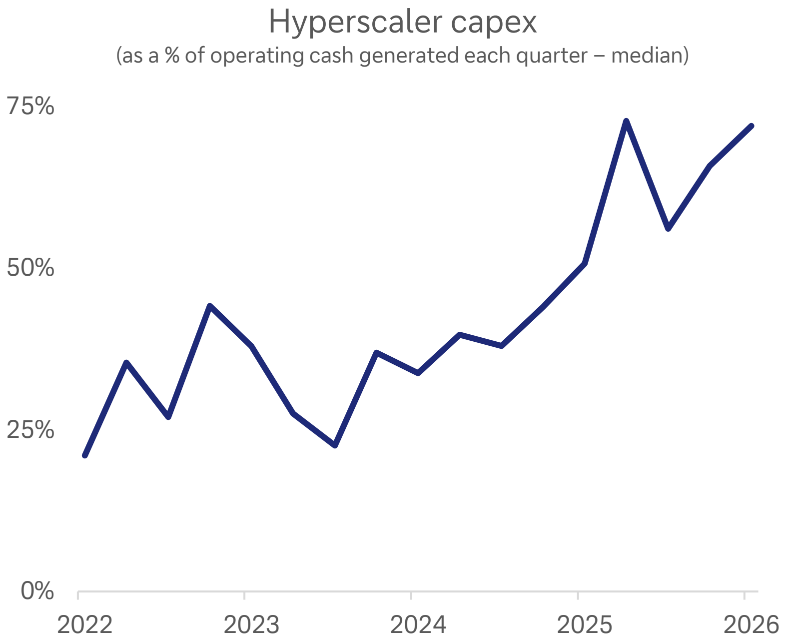
Capex supercycle

Capex has not picked up markedly (outside the hyperscalers) so far this decade due to the backdrop of several exogenous and financial shocks. The stage is set for this to bounce.

Hyperscalers have been leading the jump in capex spend …



… but that spend is eating up more and more cash flow

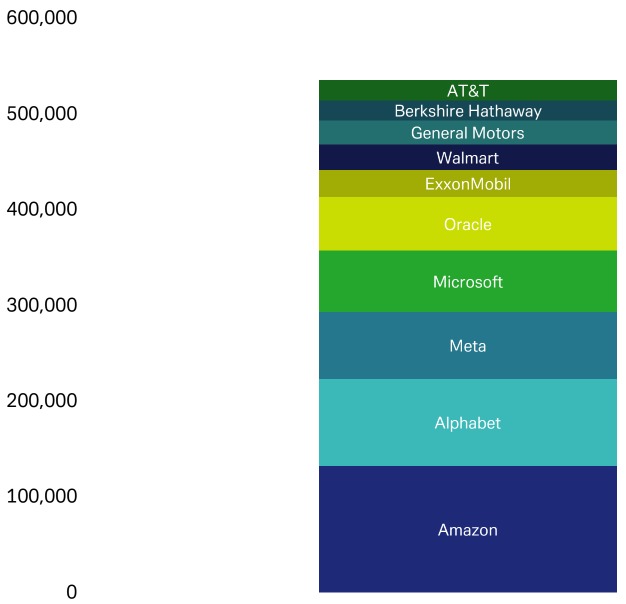


Source: Factset (based on median figures from Amazon, Microsoft, Oracle, Alphabet, IBM, Meta, Apple, Alibaba), Deutsche Bank.

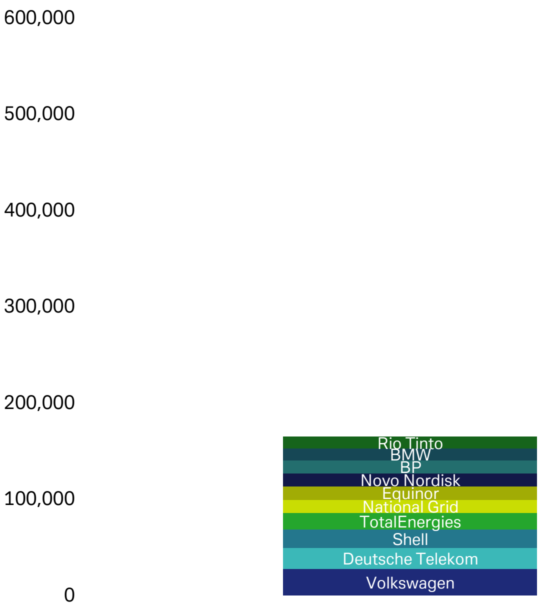
US v European capex

US capex is tech heavy while Europe's capex is still dominated by carmakers, energy, and utility-style companies

Top-10 US capex spenders (USD)



Top-10 European capex spenders (USD)

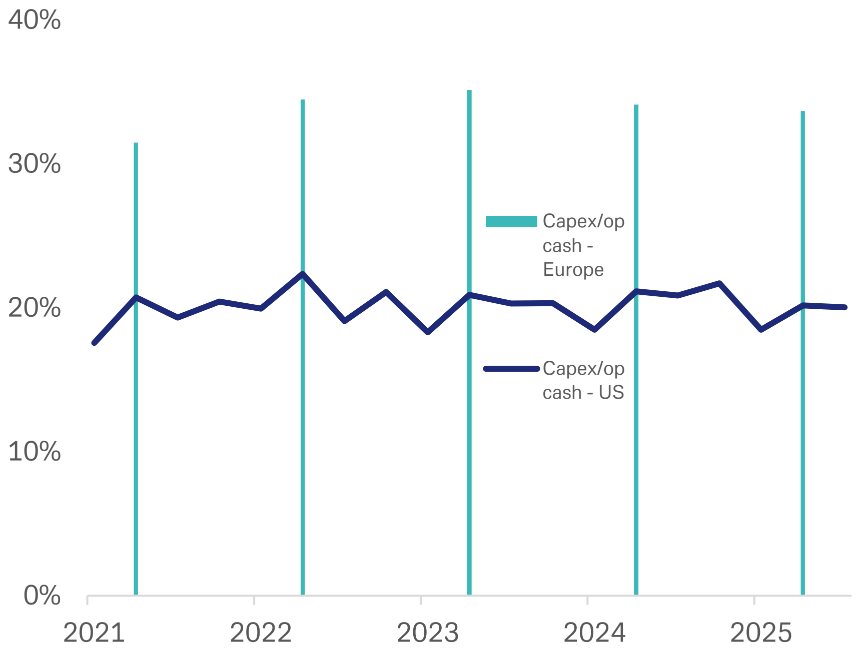


Source: Factset, Deutsche Bank.

Capex supercycle

There are legitimate questions about whether the hyperscalers can 'afford' their capex requirements. But for the average company, its capex spend consumes a constant and far more modest proportion of cashflow

Capex as a % of operating cash (median)



Source: Factset (based on median figures from Amazon, Microsoft, Oracle, Alphabet, IBM, Meta, Apple, Alibaba), Deutsche Bank.

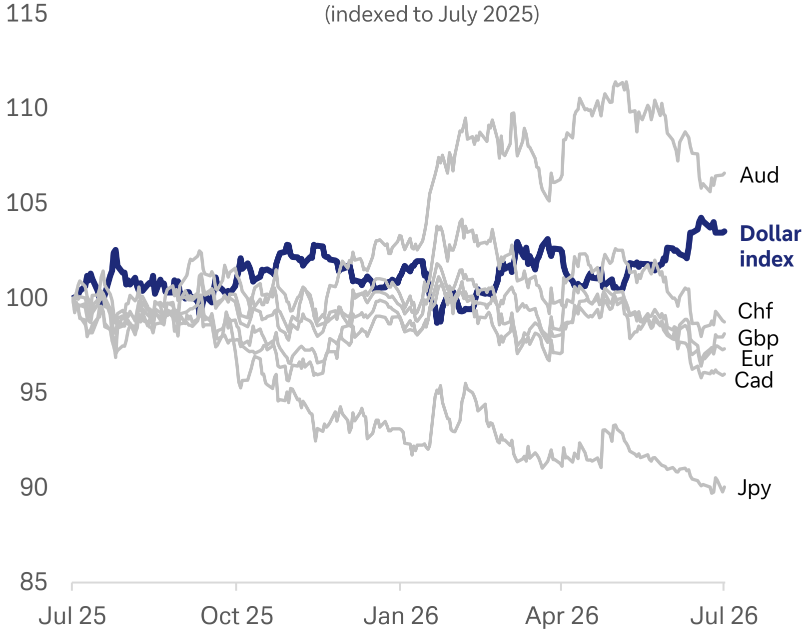
The median company in Europe has rapidly scaled its aggregate capex

Increase in median capex spend in the 4 years to 2025	
S&P 500	22%
Stoxx 600	46%

Dollar strength

The Australian dollar is the only major currency to outperform the dollar over the last 12 months

Major currencies against the dollar



Source: Factset, Deutsche Bank.

The dollar is facing both positive and negative forces that by-and-large are keeping our forecasts relatively neutral or modestly bearish:

- The dollar stands as a modest beneficiary of rising energy prices
- It is hard to make the case for significant dollar weakness as long as the stalemate in the Strait of Hormuz persists
- How this is broken and the associated medium-term implications on the balance of power in the region could ultimately have negative implications for the USD, but in the near term the cyclical impact of the Iran war is dollar supportive
- The level of front-end US yields, the interest rate differential with the rest of the world and the relative shape of the US yield curve are not sending dollar bullish signals.

Heavy sector rotation in Q2

Both the US and Europe, lagging sectors regained leadership. That trend is beginning to change again, particularly in tech

S&P 500	Q1 '26 return		Q2 '26 return
Energy	37.2	Tech	27.5
Materials	9.3	Industrials	13.8
Utilities	7.5	Real Estate	9.2
Cons staples	7.0	Financials	8.2
Industrials	4.3	Healthcare	6.2
Real Estate	1.9	Comms	5.4
Healthcare	-5.3	Cons discr	4.5
Comms	-7.1	Materials	3.3
Tech	-9.3	Cons staples	0.7
Cons discr	-9.3	Utilities	-0.1
Financials	-9.8	Energy	-12.6

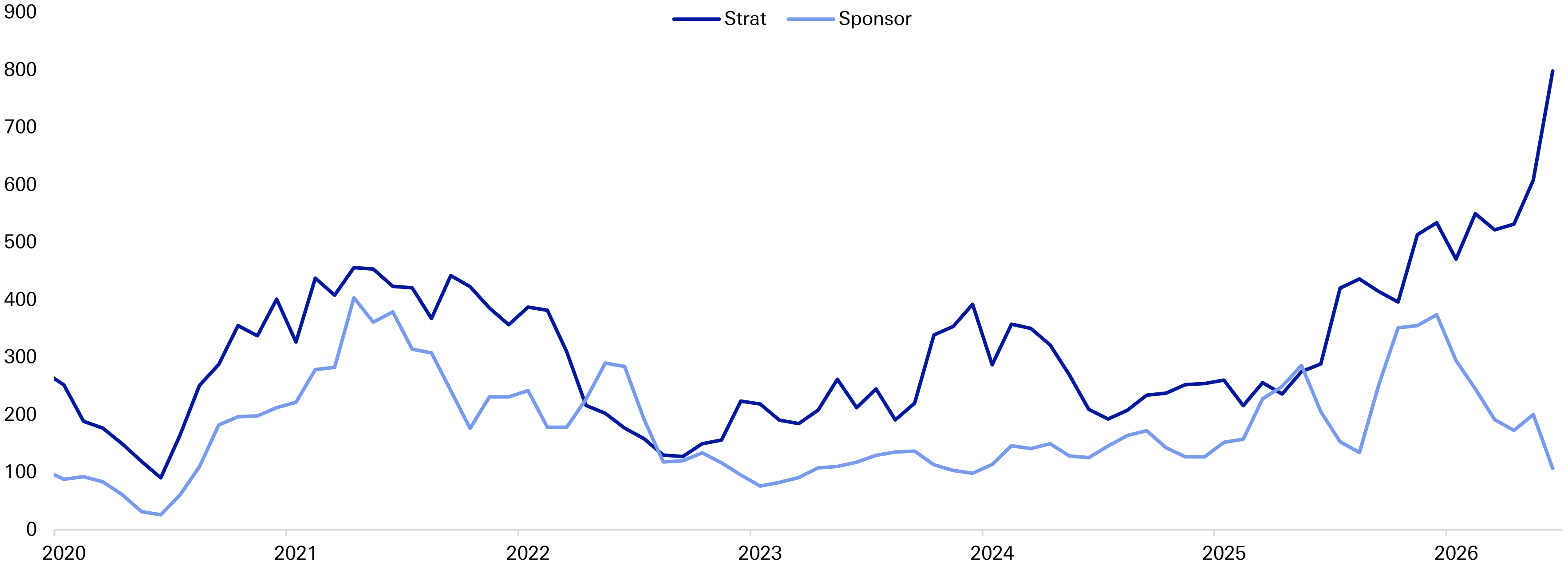
Stoxx 600	Q1 '26 return		Q2 '26 return
Energy	35.9	Tech	29.7
Telecoms	16.1	Cons discr	12.1
Utilities	12.4	Industrials	11.9
Basic resources	11.2	Financials	10.2
Cons staples	-2.6	Cons staples	6.0
Healthcare	-3.1	Real estate	6.0
Industrials	-3.7	Basic resources	5.6
Real estate	-4.9	Healthcare	4.5
Tech	-5.6	Utilities	1.4
Financials	-7.3	Telecoms	0.7
Cons discr	-16.4	Energy	-11.2

Source: Factset, Deutsche Bank.

Sponsored v strategic deals divide in the US

Tech concerns continue to weigh on sponsored deal making in the US, making the recent megadeal surge especially noteworthy when it comes to proving corporates' decisiveness to do transformational deals.

US dealmaking value ($bn, rolling 3m sum)

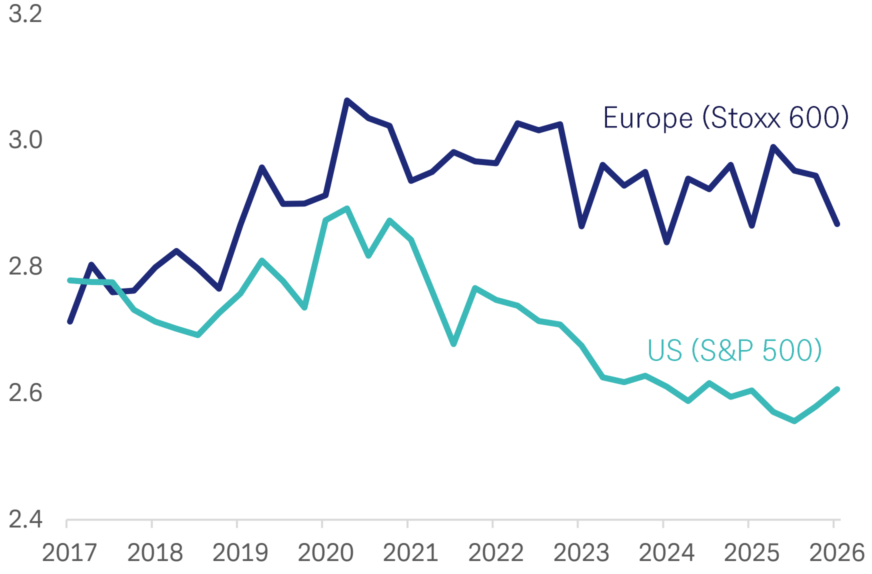


Source: Dealogic, Deutsche Bank.

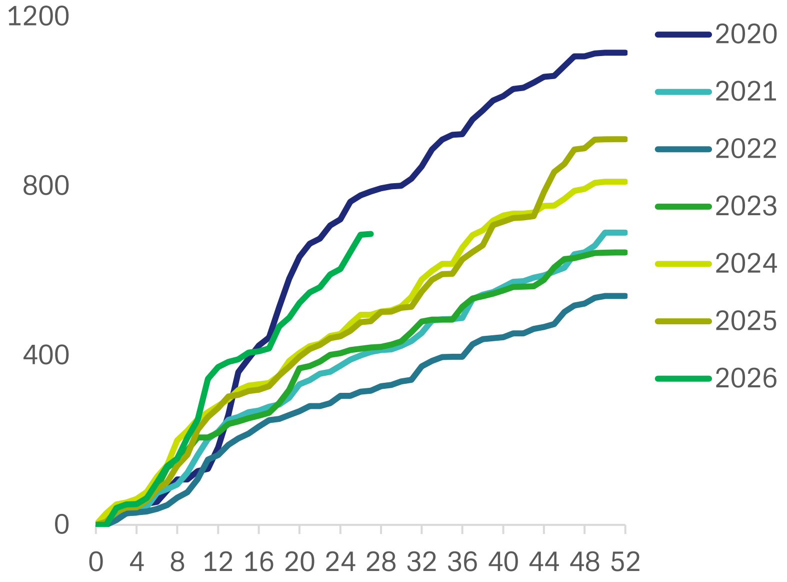
Capacity for a corporate releveraging cycle

There are early signs of corporates increasing their leverage in the US, while European corporates are in a position to do so if they wish. So far this year, net supply of $IG non-financials credit is outpacing every other year this decade (except 2020)

Median leverage of US and European firms (assets/equity)



$IG Gross Non-Financial Supply ($bn)



Source: Factset, Bloomberg Finance L.P., Deutsche Bank.

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